23 Northern Bank has two types of account.
Both accounts pay compound interest.

Cash savings account
Interest
2.5% per annum

Shares account
Interest
3.5% per annum

Ali invests £2000 in the cash savings account.
Ben invests £1600 in the shares account.

(a) Work out who will get the most interest by the end of 3 years.
You must show all your working.

(4)

In the 3rd year the rate of interest for the shares account is changed to 4% per annum.

(b) Does this affect who will get the most interest by the end of 3 years?
Give a reason for your answer.

(1)

(Total for Question 23 is 5 marks)